Paradiem

The Morning Brief

JULY 4, 2026

Doha & Data

Iran funeral pauses U.S. diplomatic track through July 9; FOMC minutes and PepsiCo highlight a light data week ahead as markets reopen Monday.

S&P 500 (THU CLOSE)	DOW (THU CLOSE)	NASDAQ (THU CLOSE)	BITCOIN (LIVE)	FEAR & GREED
$744.78 · ↑1.8% on the week	$527.88 · ↑2.0% record close	$712.60 · ↑2.1% on the week	~$61,850 · holiday tape steady	22 crypto fallback · live CNN ~30 Fear

SECTION 01

Markets — Week in Review: The Holiday-Shortened Week Reportedly Delivered a Broad Advance With the S&P 500 ↑1.8%, Dow ↑2.0% (Reported Record Close), and Nasdaq ↑2.1% Per CNBC and Reuters Coverage — Though Thursday's Weak June Payrolls Print Reportedly Reset the Rate-Path Composition Into the Reopen

THE FOUR-SESSION WEEK REPORTEDLY CLOSED HIGHER ACROSS ALL THREE MAJOR INDICES PER REUTERS AND CNBC COVERAGE, WITH THE DOW PROXY REACHING A REPORTED RECORD AT $527.88 (↑2.0% ON THE WEEK) WHILE A REPORTED +57K JUNE PAYROLLS PRINT VS THE REPORTED 115K DOW JONES CONSENSUS PER BLS/CNBC REPORTEDLY RECAST THE FED PATH — TRADERS REPORTEDLY REMOVED SEPTEMBER FROM RATE-HIKE EXPECTATIONS PER CME FEDWATCH COVERAGE WHILE RETAINING AN OCTOBER PATH PER CNBC

For FCI's framework, the shortened week's cross-asset composition reportedly reads as constructive at the index level but rotational underneath: Thursday's defensive bid (XLV ↑2.63%, XLU ↑2.21%, XLP ↑2.03% per the data drop) absorbed flow as the Tech sleeve (XLK ↓2.71% Thu per the data drop) reportedly extended a two-session chip give-back concentrated in LRCX (↓10.19% Thu), MRVL (↓9.84%), CRDO (↓6.63%), KEYS (↓6.48%), and AMD (↓4.26% per the data drop). Defense-sleeve firming continued with LMT at $545.91 (↑4.62% Thu per the data drop) reportedly on a reported $3.5B Ultra Maritime deal frontrunner status per Yahoo, and the digital sleeve extended a recovery with IBIT at $34.87 (↑2.56%) and ETHA at $12.86 (↑5.50% per the data drop) into the closure. Per the BLS Employment Situation release cited via CNBC, June nonfarm payrolls reportedly rose 57,000 — the reportedly lowest monthly gain in four months per Trading Economics — against a reported 115K consensus, with the unemployment rate reportedly holding at 4.2% and April and May reportedly revised down by a combined 74K. The 2-year yield reportedly fell 3.5 bps to 4.13% following the print per CNBC coverage.

S&P 500 (THU CLOSE)	$744.78 · ↑1.8% on the week per Reuters
DOW (THU CLOSE)	$527.88 · ↑2.0% on the week · reported record per CNBC
NASDAQ (THU CLOSE)	$712.60 · ↑2.1% on the week per Reuters
PRECIOUS METALS (THU)	GLD $378.13 ↑2.03% · SLV $55.02 ↑2.69% · largest Thu move
DIGITAL ETFS (THU)	IBIT $34.87 ↑2.56% · ETHA $12.86 ↑5.50%
FED PATH RESET	Sept hike reportedly off table per CME FedWatch; Oct retained per CNBC
CARSON'S SPY SUPPORT	$645.80 · active · well-removed from Thu intraday low $740.03

THE REPORTED FIRST WARSH-CHAIRED FOMC REPORTEDLY HELD RATES STEADY AT 3.50–3.75% IN JUNE PER FEDERAL RESERVE RELEASE, WITH THE COMMITTEE REPORTEDLY REMOVING AN EARLIER CUTTING BIAS PER CNBC — WEDNESDAY'S REPORTED RELEASE OF THE JUNE FOMC MINUTES IS THE REPORTED PRIMARY RATE-PATH SIGNAL INTO THE JULY 29 MEETING, NOW SET AGAINST A MATERIALLY WEAKER LABOR BACKDROP THAN THE JUNE ASSUMPTIONS

Per Federal Reserve Board coverage, the June 16–17 FOMC reportedly held the target range at 3.50–3.75% and reportedly pared its cutting-bias language, with the Summary of Economic Projections reportedly showing no rate cuts through 2026 per CNBC. Per Fortune coverage cited in prior briefs, Chair Warsh reportedly signaled a hawkish framing at his first press conference, opting out of the dot-plot participation per Kiplinger coverage. For FCI's framework, the Wednesday July 8 minutes reportedly gate the next hard-data reset alongside Thursday's PEP earnings kickoff and continued sector rotation between defensives and semiconductors; per Kiplinger, next week's economic calendar is reportedly light beyond the minutes, leaving Middle East headlines, oil prices, and rate expectations as the reported dominant intraweek drivers. **Simplicity Over Complexity.**

The week's composition reportedly compressed into two threads: a weak labor print that reset the rate path, and a defensive-plus-defense rotation that absorbed the flow. **Research Reveals Opportunities.**

SECTION 02

Geopolitics — Khamenei Funeral Processions Reportedly Began in Tehran Today With Ceremonies Scheduled Through July 9 per CBS/CNN Coverage; Doha U.S.–Iran Track Reportedly Paused Over the Interval With Progress Reported but Denuclearization Reportedly Barely Touched per Al Jazeera

PER CBS NEWS AND CNN LIVE COVERAGE, THOUSANDS OF MOURNERS REPORTEDLY ENTERED TEHRAN'S GRAND MOSALLA THIS MORNING LOCAL TIME FOR THE CEREMONIES OF THE FORMER SUPREME LEADER AYATOLLAH ALI KHAMENEI, WITH PROCESSIONS REPORTEDLY SCHEDULED ACROSS IRAN AND IRAQ THROUGH JULY 9 — PER AL JAZEERA AND TIMES OF ISRAEL COVERAGE OF THE DOHA ROUND, U.S. AND IRANIAN NEGOTIATORS REPORTEDLY REPORTEDLY REGISTERED CONSTRUCTIVE PROGRESS PER QATARI MEDIATORS BUT THE REPORTED DENUCLEARIZATION QUESTION REPORTEDLY REMAINS LARGELY UNTOUCHED, WITH TALKS REPORTEDLY TO RESUME AS SOON AS POSSIBLE AFTER THE FUNERAL

For FCI's framework, the funeral window reportedly gates a five-plus-day diplomatic gap during which the mediator track is offline and the reported Hormuz toll dispute per Axios coverage remains the reportedly hardest open item. Per Fox News and Deccan Herald coverage, the Doha round was reportedly only the second engagement since the parties reportedly signed a June 17 memorandum of understanding extending the ceasefire; per Al Jazeera, the reported 60-day negotiating window reportedly narrows against the funeral pause. For the FCI Energy sleeve, Thursday's data drop showed USO at $103.98 (↑0.69%) and BNO at $39.67 (↑0.66%) reportedly reflecting a modest bid off the mid-week decline; CVX closed at $169.20 (↑2.12%), OKE at $87.83 (↑2.45%), and DVN at $40.47 (↑0.55%) per the data drop, with VLO at $267.76 (↓0.62%). Per Reuters coverage cited in the data drop headlines, oil prices reportedly remained little changed ahead of the long U.S. weekend as peace efforts held. **The physical world matters.**

REUTERS REPORTEDLY COVERED NATO LEADERS CONVENING IN ANKARA TO REPORTEDLY SMOOTH TENSIONS WITH THE U.S. AND REPORTED GULF OIL EXPORTS JUMPING IN JUNE ON REPORTED RECORD UAE FLOWS FOLLOWING THE REPORTED U.S.–IRAN DEAL FRAMEWORK — MEANWHILE A REPORTED DAMASCUS CAFE BLAST LEFT NINE DEAD PER SYRIAN INTERIOR MINISTRY PER REUTERS, UNDERSCORING THE REPORTED PERSISTENCE OF REGIONAL VOLATILITY BENEATH THE DIPLOMATIC TRACK

Per Reuters coverage cited in the data drop headlines, Gulf oil exports reportedly jumped in June on reported record UAE flows following the reported U.S.–Iran framework, adding to the supply-side backdrop against which the U.S. is reportedly pressing Iran to abandon Hormuz tolls per Axios. For FCI's Materials and defense sleeves, the reported record first-half M&A cadence per Yahoo — alongside the reported LMT frontrunner status for a $3.5B Ultra Maritime deal per Yahoo coverage cited in the data drop — reportedly extends the corporate-action layer that drove the Thursday GPC move on the reported ~$10B O'Reilly cash bid per Yahoo. Per Reuters, the NATO summit in Ankara reportedly seeks to reconcile alliance tensions, an item worth tracking for FCI defense positioning (LMT, GD) into the July 8 FOMC minutes and the July 9 funeral conclusion. **Think Like an Owner.**

KHAMENEI FUNERAL	July 4–9 · Tehran & Iraq per CBS/CNN · mediator track reportedly offline
DOHA PROGRESS	Constructive progress reported per Qatari mediators · denuclearization reportedly barely touched per Al Jazeera
HORMUZ TOLL DISPUTE	Reportedly the hardest open item per Axios · supply-side wildcard
UAE EXPORTS	Reportedly record June flows per Reuters · supply cushion
NATO / ANKARA	Alliance summit reportedly convening per Reuters · defense-sleeve read-through
DAMASCUS BLAST	Cafe attack reportedly killed nine per Syrian interior ministry via Reuters

On Our Radar

1. Week Ahead — Markets Reopen Monday July 6 Into a Reportedly Light Data Calendar per Kiplinger; Wednesday July 8 Delivers the June FOMC Minutes Reportedly as the First Warsh-Chaired Meeting's Full Deliberation Record, and Thursday July 9 Brings PepsiCo (PEP) Ahead of the Broader Q2 Earnings Kickoff. Per Kiplinger's week-ahead calendar, the June FOMC minutes reportedly release Wednesday July 8 and are reportedly the primary rate-path signal into the July 29 policy meeting, now set against the reported 57K June payrolls miss vs the reported 115K Dow Jones consensus per BLS/CNBC. Per Federal Reserve coverage, the June meeting reportedly held the target range at 3.50–3.75% and reportedly removed the earlier cutting bias per CNBC; per Kiplinger, Chair Warsh reportedly chose not to participate in the dot plot. Per Kiplinger, PepsiCo (PEP; not an FCI position) is reportedly the notable Thursday July 9 report on a light earnings calendar, with the consensus reportedly at $2.21 EPS and revenue near $24B per the reported guide-through. *Research Reveals Opportunities.*

2. Khamenei Funeral (July 4–9) and Doha Pause — Iran's Multi-Day Ceremonies Reportedly Began Today in Tehran per CBS/CNN Coverage, With the U.S.–Iran Doha Track Reportedly to Resume at the Reported Earliest Feasible Date per Deccan Herald — Hormuz Toll Dispute Reportedly Remains the Reported Hardest Open Item per Axios. Per CBS News and CNN live coverage cited in the search feed, mourners reportedly gathered at Tehran's Grand Mosalla this morning; the reported procession schedule spans locations across Iran and Iraq through July 9 per CNN. Per Al Jazeera and Times of Israel coverage, U.S. and Iranian negotiators reportedly registered constructive progress in Doha per Qatari mediators though the reported denuclearization thread is reportedly barely touched. For FCI's Energy sleeve, the reported record UAE June flows per Reuters layer a supply-side cushion against the geopolitical premium; per Reuters, oil prices reportedly held steady into the U.S. holiday closure. **The physical world matters.**

3. FCI Sleeve Positioning Into the Reopen — Defense (LMT ↑4.62%, GD ↑2.94% Thu per Data Drop) and Precious Metals (GLD ↑2.03%, SLV ↑2.69%) Reportedly Firmed Into the Long Weekend, While the Chip Cohort (LRCX ↓10.19%, MRVL ↓9.84%, CRDO ↓6.63%, KEYS ↓6.48%, AMD ↓4.26%) Reportedly Extended a Two-Session Give-Back; Digital ETFs (IBIT ↑2.56%, ETHA ↑5.50%) Extended a Recovery. For the investment committee, the two-session pattern reportedly warrants distinguishing between AI-infrastructure names and memory/testing composition into the Q2 earnings kickoff; per prior brief coverage, June spot Bitcoin ETFs reportedly logged their reported worst monthly outflow at approximately $4.5B per Benzinga, a baseline against which the late-week recovery reads as relief rather than a directional turn. Carson's SPY support at $645.80 remains active, well-removed from Thursday's intraday low $740.03 per the data drop. *Avoid Erosion.*

4. Sentiment Note — the Data Drop's Fear & Greed Print of 22 Reportedly Reflects the Crypto Fallback Where the CNN Endpoint Failed; Per Public Feed Coverage the CNN Stock Market Reading Was Reportedly Near 30 (Fear) Ahead of the Holiday Closure, With the Composition Reportedly Absorbing the Weak Labor Print and Semiconductor Rotation Rather Than the Underlying Index Advance. Per the data drop timestamp of 03:43 AM CT Saturday, the sentiment feed reportedly registered the crypto index fallback rather than the CNN stock-market index; per MacroMicro coverage, the CNN reading reportedly printed near 30 (Fear) on July 2. For FCI's framework, the divergence between the index-level advance (S&P ↑1.8%, Dow ↑2.0% weekly per Reuters/CNBC) and the Fear sentiment reading reportedly aligns with the two-session chip give-back and the rate-path repricing rather than broad-based de-risking. **Simplicity Over Complexity.**